

unexpectedly, it will affect the market as a whole, probably in a negative manner. In other words, there will be more sellers than buyers and stock prices will fall. Similarly, if the economy were to slip into a recession, it would affect the entire market, not just a handful of stocks.

A stock whose price changes closely follow the price changes of the market, as proxied by a stock index, contains more general market risk than a stock whose changes are not closely related to changes in the general stock market.

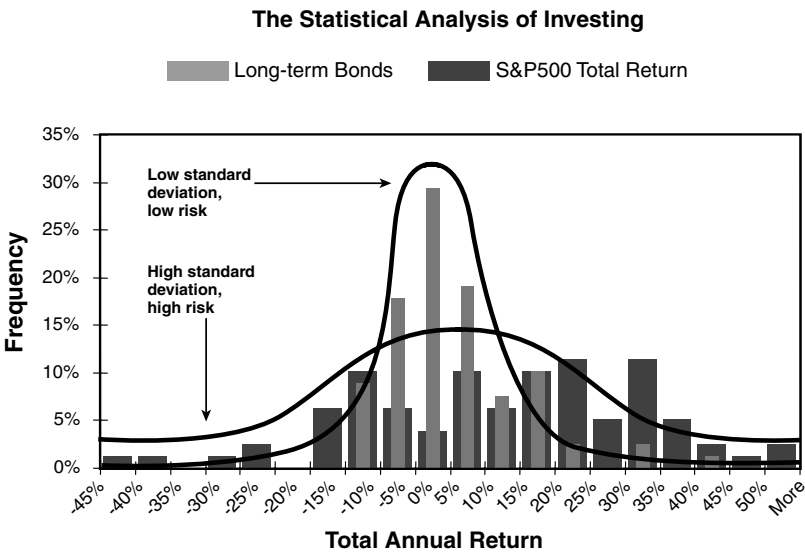


Figure 3.2 Stocks do better than bonds, with time.

Source: Moshe Milevsky and the IFID Centre, 2008.

Aside from general market risk, a company as represented by its stock price also faces risks unrelated to general economic or market risk. Individual security risk, or unsystematic risk, refers to risk associated with changes in the stock price that are due to events associated with the firm itself, independent of changes in the overall economy or the market.

There are numerous potential sources of individual security or firm-specific risk. Sales may decline or rise sharply. The company may fall victim to a fire, sabotage, class-action lawsuit, or accounting fraud.